

		The court recognizes this is not a motion to amend the judgment to add an alter ego in the traditional sense, but rather a motion to amend under the foregoing Labor Code provisions. Nonetheless, Domaoal has not presented any authority to show the same due process requirements do not apply here. Indeed, Domaoal has not shown the court may add a nonparty as a judgment debtor without the nonparty being served in a sufficient manner to confer jurisdiction over the nonparty. Based on the foregoing, the motion is DENIED WITHOUT PREJUDICE. Domaoal's counsel is ordered to give notice of this motion.
12.	<i>Santos vs. Crenshaw Manufacturing Inc.</i> 2025-01488879-	Before the court is the motion of judgment creditor Marivel Santos (Santos) to amend judgment pursuant to Code of Civil Procedure section 187. As more fully set forth below the motion is DENIED WITHOUT PREJUDICE. On July 14, 2023, Santos obtained an award from the Workers' Compensation Appeals Board of the State of California against judgment debtor Crenshaw Manufacturing Inc. (Crenshaw) in the amount of \$194,356.55 arising out of an injury Santos sustained while working for Crenshaw. On June 3, 2025, Santos filed these proceedings and obtained a judgment against Crenshaw based on the Appeal Board award. By this motion, Santos seeks to amend that judgment to add nonparty Waleed Mansour (Mansour) as a judgment debtor on the ground Mansour is an alter ego of Crenshaw. Code of Civil Procedure section 187 provides, "When jurisdiction is, by the Constitution or this Code, or by any other statute, conferred on a Court or judicial officer, all the means necessary to carry it into effect are also given; and in the exercise of this jurisdiction, if the course of proceeding be not specifically pointed out by this Code or the statute, any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code. "The authority provided to courts by section 187 includes the power to add a judgment debtor where a person or entity is an alter ego of the original judgment debtor." (<i>Butler America, LLC v. Aviation Assurance Co., LLC</i> (2020) 55 Cal.App.5th 136, 145.) "Amending a judgment to add an alter ego of an original judgment debtor" is an equitable procedure based on the theory that the court is not amending the judgment to add a new defendant but is merely inserting the correct name of the real defendant."''''

		(<i>Angel Lynn Realty, Inc. v. George</i> (2025) 114 Cal.App.5th 655, 663 (<i>Angel Lynn Realty</i>).) Based on due process concerns, however, a default judgment may not be amended to add a nonparty alter ego. (See <i>Motores de Mexicali, S.A. v. Superior Court</i> (1958) 51 Cal.2d 172, 175-176; <i>Wolf Metals Inc. v. Rand Pac. Sales, Inc.</i> (2016) 4 Cal.App.5th 698, 703-704, 708-709; <i>NEC Electronics, Inc. v. Hurt</i> (1989) 208 Cal.App.3d 772, 779.) “““Usually, a disregard of the corporate entity is sought in order to fasten liability upon individual stockholders. . . .””” (<i>Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc.</i> (2013) 217 Cal.App.4th 1096, 1107 (<i>Toho-Towa</i>).) “In California, common principles apply regardless of whether the alleged alter ego is based on piercing the corporate veil to attach liability to a shareholder or to hold a corporation liable as part of a single enterprise. In both cases, ‘[t]he law as to whether courts will pierce the corporate veil is easy to state but difficult to apply.’ [Citation.] Because it is founded on equitable principles, application of the alter ego ‘is not made to depend upon prior decisions involving factual situations which appear to be similar. . . . “It is the general rule that the conditions under which a corporate entity may be disregarded vary according to the circumstances of each case.” [Citations.] Whether the evidence has established that the corporate veil should be ignored is primarily a question of fact which should not be disturbed when supported by substantial evidence. [Citations.]” (<i>Toho-Towa, supra</i>, 217 Cal.App.4th at p. 1108.) To prevail on a motion to amend a judgment to add a nonparty, “the judgment creditor must show, by a preponderance of the evidence, that “(1) the parties to be added as judgment debtors had control of the underlying litigation and were virtually represented in that proceeding; (2) there is such a unity of interest and ownership that the separate personalities of the entity and the owners no longer exist; and (3) an inequitable result will follow if the acts are treated as those of the entity alone.”” What constitutes sufficient control depends on the facts of each individual case. For example, Control was shown where the nonparty alter ego hired counsel to represent the corporation, was the person with whom the corporate defendant’s counsel primarily dealt, was kept fully informed of the suit’s progress, was familiar with all the issues, and helped draft documents for the litigation. (<i>Alexander v.</i>
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		protection where some conduct amounting to bad faith makes it inequitable for the corporate owner to hide behind the corporate form.” (<i>Ibid.</i>) “Alter ego ‘is an extreme remedy, sparingly used.’ [Citation.] “The standards for the application of alter ego principles are high, and the imposition of [alter ego] liability . . . is to be exercised reluctantly and cautiously.” [Citation.] Still, “[t]he greatest liberality is to be encouraged” in allowing judgments to be amended to add the ‘real defendant,’ or alter ego of the original judgment debtor, “in order to see that justice is done.” [Citations.]” (<i>Highland Springs Conference Training Center v. City of Banning</i> (2016) 244 Cal.App.4th 267, 281.) Here, Santos has failed to present sufficient evidence to meet her burden by a preponderance of the evidence. As stated above, Santos must establish three elements to meet that burden. The failure on any one of the elements requires the motion to be denied. Santos’s evidence is highly conclusory and some of it is inadmissible. The motion’s most glaring shortcomings is on the unity of interest element, especially when viewed in light of the evidence Mansour presents in opposition. Santos argues this element is met because Mansour owned and controlled Crenshaw, but the court finds more is needed to meet this element. For example, there is no showing regarding the capitalization, adherence to corporate formalities, commingling of asset, or any of the other factors identified above. Not all of these factors are required and no single factor is essential, but something more than ownership and control is needed. If not, every sole shareholder who runs a corporation would be an alter ego. Based on the foregoing, the motion is DENIED WITHOUT PREJUDICE. Any future motion must provide a much more detailed factual showing on each of the three required elements. Santos also should more fully address the argument the decision in this case was the equivalent of a default judgment, which would prevent the amendment of the judgment. As for Mansour’s evidentiary objections, they are SUSTAINED as to objection nos. 1, 3, 4, 5, and 6 and OVERRULED as to all others. Santos’s counsel is ordered to give notice of this ruling.
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